Alt Group Octo Opportunities Fund

Private Equity Managed Alternative Investment Solution 2024/2025

A unique institutional investment environment and community
for small institutional companies and Ultra-High-Net-Worth investors

Our Goal

We seek out and consolidate the best Private Equity investment opportunities to efficiently provide investors with the ideal risk adjustment profile for their needs.

Our Competitive Edge

Leveraging decades of experience and strong industry relationships, our team sources, accesses, and evaluates unique private equity opportunities. Our actively managed solution features a meticulously curated portfolio, built by skilled analysts who thoroughly research and vet each potential investment. This approach targets alpha generation for our investors, aiming to deliver superior returns through a well-balanced, high-quality alternative investment portfolio.

Driving Alpha Through Strategic Private Equity Investments

Why this Vehicle?

Direct access to the world's leading GP'S

Diversified & Tailored Portfolios

Research and analysis at an institutional level

Our Solution offers access to elite investment opportunities and to top PE funds that are typically reserved for large institutional investors. Our streamlined, direct approach to investments eliminates unnecessary intermediaries and associated costs.

Our team of seasoned analysts is continuously engaged in both quantitative and qualitative analysis, meticulously sourcing from among the world's premier investment funds and alternative investment opportunities. With data that is rigorously researched, our team strategically selects the optimal mix of illiquid investments to broaden and enrich any investment portfolio.

Our Product offers an optimal, risk-managed strategy to broaden and enrich the diversity of existing illiquid portfolios. The vehicle will comprise the best opportunities offered in the 2024/2025 vintage year; we expect to see short term deployment; within the next 1.5-2 years.

We actively manage all operational and execution aspects of the portfolio, including reports, updates, and ensuring agile and effective investment strategies that adapt to changing market conditions.

The Challenges Of Private Investing

01. Limited available capital

02. Limited capability for comprehensive and accurate analysis

03. Operational, management Regulatory and Compliance

04. Access to private funds

05. Diversification of alternative investments

06. Liquidity

One Stop Shop

For Private Equity Investors

Fund Mapping	Identification and selection of potential funds based on stringent criteria to ensure alignment with investment goals.
In-depth Research	Comprehensive research, meticulous analysis of market trends and financial data to determine the viability and potential of each investment in the alternative markets and private equity sectors.
Portfolio Construction	Strategic creation of a diversified portfolio tailored to meet specific investor needs and objectives.
Investment Management	Daily management and oversight of strategic decisions involved in maintenance and optimization of the portfolio.
Cashflow Management	Cashflow modelling and management throughout the life of the portfolio, using unique modelling tools developed in-house and customized to each clients needs.
Reporting	Provision of detailed, regular, and transparent reports, to keep investors informed about their investments' performance and market conditions.
Ongoing Support	Continued support and advice to address any concerns and adapt to changing market dynamics.

LPs’ View

Value to LPs

We offer investment products through trusted local partners, ensuring that our clients have access to exclusive private equity opportunities with robust support and clear communication.

Clients Come First

Long-Term Commitment: Our structure and policies are designed to ensure that our client-first approach is sustained over the long term, with strategies and practices that prioritize client outcomes.

The vehicle is designed with our clients’ convenience in mind; by consolidating multiple top tier PE Opportunities, we are able to streamline complicated and time-consuming procedures such as capital calls, cashflow management and risk adjustment, while ensuring that our investors can access these unique, balanced and diverse portfolios.

Fostering an Alignment of Interests

Selective Manager Engagement: In selecting managers and negotiating fees, we aim for arrangements that incentivize performance, ensuring that our interests are directly aligned with those of our clients.

We value mutual trust and transparency, which informs the way in which we operate and communicate with our LPs.
We act as a dedicated partner, employing rigorous, data-driven analysis to guide our decisions and strategies, consistently prioritizing our clients' interests first.

Investment Screening Process

1. **Strict Underwriting Process –** Of over 120 investment funds reviewed, approximately 20% qualify for a detailed due diligence process. Subsequently, only 4% of these funds meet our stringent investment criteria and receive funding.

2. **Fund Examination -** Over approximately three months, we conduct thorough research, including weekly meetings with fund managers to ensure a deep understanding of each fund's strategy and performance metrics..

3. **In-Depth Analysis -** Our analysis dives deep into the risk elements, examining how each fund generates its returns and the characteristics of these returns. This process includes both quantitative and qualitative evaluations, with a focus on each individual transaction. If the outcomes are not definitively clear and measurable, we do not proceed with the investment.

4. **Comprehensive Methodology -** We employ leading external experts to conduct ordered and thorough examinations across legal, taxation, and investment aspects, ensuring all compliance and due diligence standards are met.

5. **DNA** – We construct unique DNA profiles for every fund and each transaction we engage in. This allows us to continuously refine our investment strategy based on both quantitative data and broader market insights, identifying potential investment opportunities.

Transaction Assessment Requirements

- ✓ At least one in-person meeting with the fund manager
- ✓ Identification of funds that do not sufficiently pass AML/KYC checks and funds that invest or will benefit from substantial income from sanctioned countries
- ✓ Ensure sufficient corporate governance
- ✓ Elimination of funds that do not meet the minimum requirements of the LPA and side letter conditions
- ✓ Disqualification of funds that invest more than 50% in fossil fuels (all PE and PD funds are expected to have an ESG Policy)

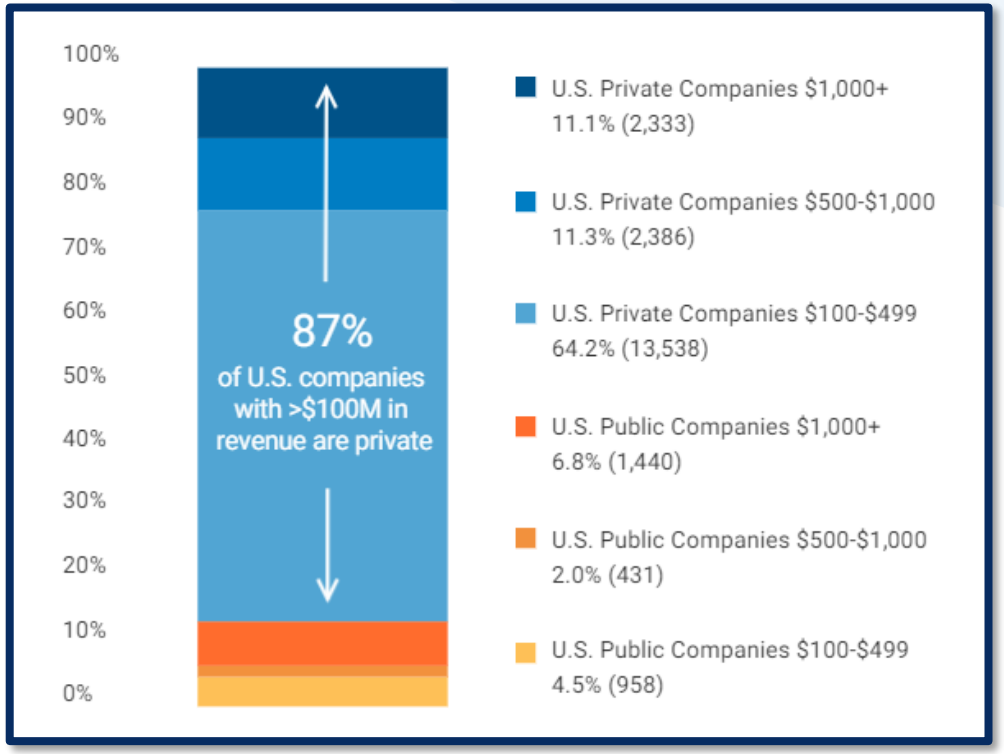
Fund Database

Our analysts are constantly adding to and updating our comprehensive fund database, which tracks all relevant fund data, allowing for real-time snapshots of the current market and offerings, and allows us to leverage the data to build a well-balanced portfolio.

- Currency
- Asset Class
- Managers
- Fees & Policies
- Strategy
- Focus
- Risk
- Target Size
- Vintage
- Geography
- Closed End\Open End
- Track Record

Market Overview

Market Size



Sources: Left chart - Capital IQ, January 2022. Right chart: Statista as of June 2023

Key Trends

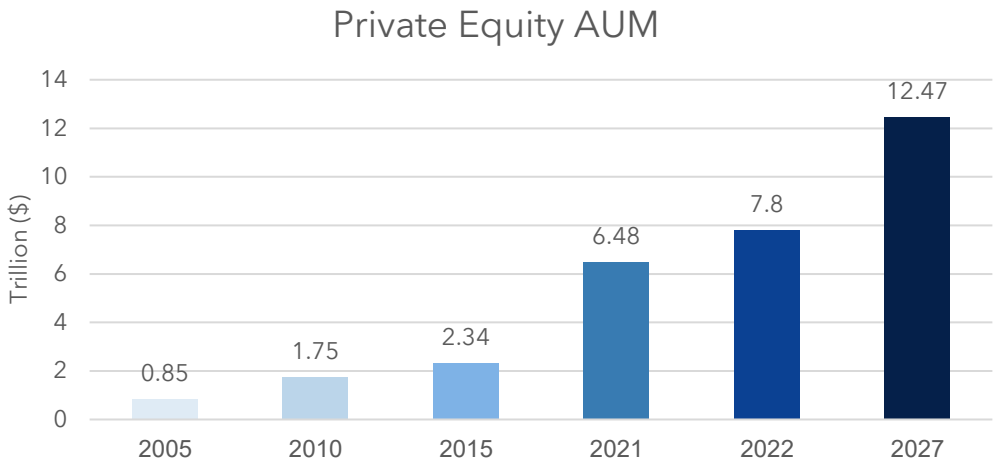
- 1996 was the record year for most public companies (~8000 in 1996)
- There has been a 50% reduction in the number of public companies over the past three decades, with approximately 3,000 remaining today

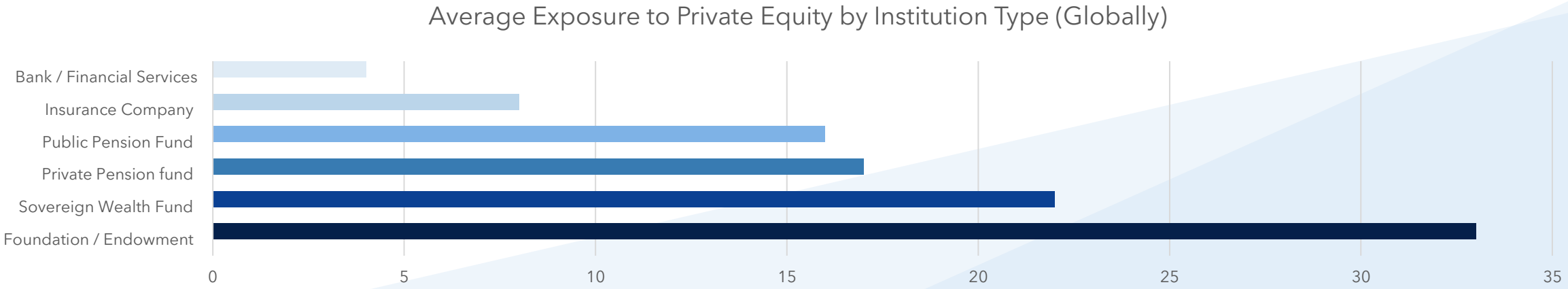
Key Takeaways

- With fewer companies choosing to go public, significant value is increasingly being found in the private sector
- Companies (on average) are choosing to remain in the private sector for longer

Market Size

The private equity market has seen substantial growth, with AUM projected to reach $12.47 trillion by 2027, while institutional investors, such as foundations, sovereign wealth funds, and pension funds, show significant exposure to private equity, highlighting its importance in diversified investment portfolios





Sources: Pitchbook & McKinsey's Global Private Markets Review

Israel’s Institutional Market: Snapshot 2023

2.2T NIS

Total Assets Managed

319B NIS

Total Allocation to Illiquid Assets

15%

Average Exposure to Illiquid Assets

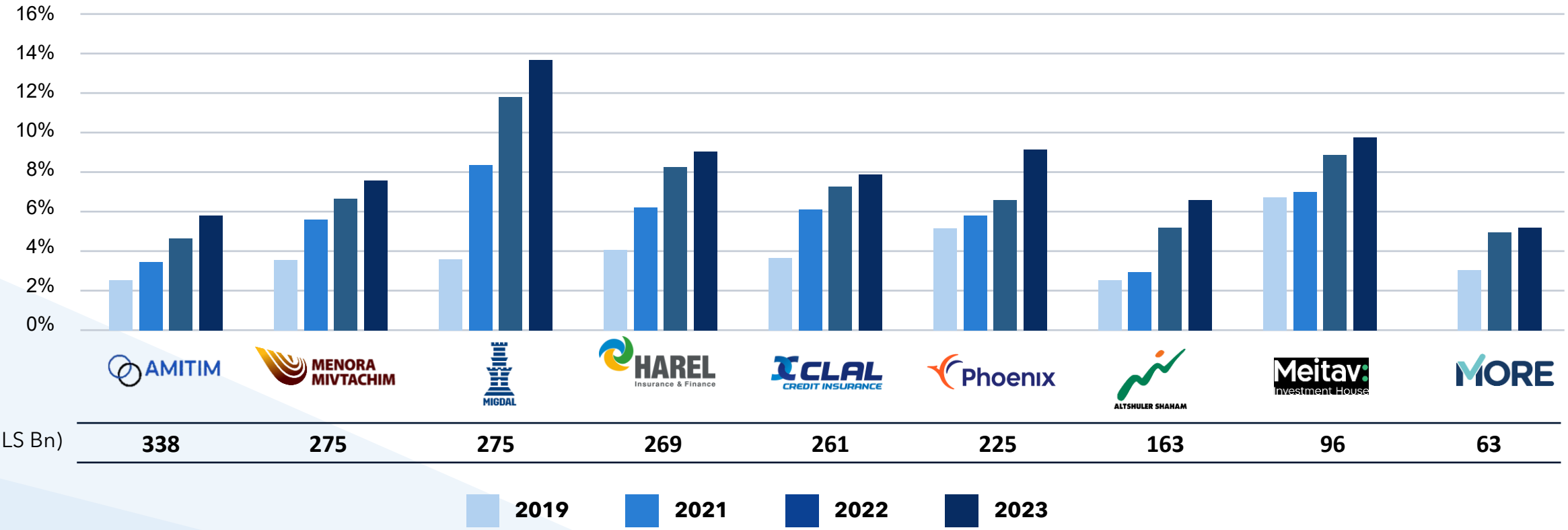
25%

Exposure to Illiquid Assets among Israel’s Top 10 Institutions

Source: based on data taken from the single asset report for the year 2023

Private Capital (ex. RE) Allocation Growth

NAV Relative to AUM



AUM (ILS Bn)	AMITIM	MENORA MIVTACHIM	MIGDAL	HAREL	CLAL	Phoenix	ALTSHULER SHAHAM	Meitav	MORE
	338	275	275	269	261	225	163	96	63

While Israeli institutional investors have significantly increased their exposure to private investments funds and have become prominent players in the international arena, their allocations are still lower compared to their global counterparts

Source: From the FPI presentation, based on data taken from the single asset report for the yea

Octo Fund

Octo Fund Investments

Octo Strategy

An investment fund that specializes in selecting, sourcing and analysing institutional global funds with Private Equity and complementary strategies, and a wide geographic and strategic dispersion.

- **Diversification between Private Equity sub-strategies**
- **Large and Mid-Market Buyout Strategies:** Some of the core funds will deploy an acquisition strategy, targeting mature companies with experienced management, potential for strategic change and value enhancement.
- **Growth strategy:** Other core funds will focus on growth-oriented investments, identifying companies with high growth potential and providing the necessary capital for expansion.
- **Special strategies:** The fund will explore opportunities within special strategies, such as Distressed.
- **Structured Debt Strategy**
- **Structured Debt Secondary Strategy**
- **Additional Opportunistic Strategies**

Octo Fund Advantages

1

Diversification

The fund invests in a wide variety of global Private Equity funds, while optimally diversifying assets, which reduces overall risk.

2

Outstanding Investment Funds With Adjustments To The Macro Environment

Outstanding strategies that will be carefully selected by Alt Group's research and analysis team.

3

Performance Potential

Selecting leading investment funds and adapting the strategies to the economic environment, with the aim of generating significant alpha.

4

Optimal Risk Management

The fund will be characterized by a responsible approach to risk and return, which is reflected in strategic, geographic and sectoral diversification.

5

Access

We provide efficient access to a basket of leading Private Capital funds, which are generally accessible only to large qualified and institutional investors.

6

Reducing The J-Curve Phenomenon

The composition of the portfolio is expected to minimize the J-Curve phenomenon and produce faster distributions in light of the unique strategies.

7

Alpha-Driven Returns

Our strategy is focused on selecting top-performing funds to maximize alpha, ensuring superior returns for our investors

8

Liquidity Mechanism

The fund will implement mechanisms that are expected to improve the liquidity profile and shorten the life of the fund towards its end.

Octo Fund Terms

Target Size	$30M – $50M
Expected Investment Period*	3 Years (from final closing)
Fund Term**	8 Years
Minimum Commitment	$500,000
Currency	USD
Liquidity	Closed-end funds
Eligibility	Accredited Investors
Legal Structure	Israeli Limited Partnership
Service Providers	**Administrator:** Apex **Legal advisor:** Arnon Segev **Tax advisor:** KPMG
Management Fees***	0.88%
Success Fee	8%
Hurdle Rate	8% / Full Catch Up
Target Net IRR	15%-18% (Before Tax)
Expected TVPI	1.8x-2x

Distributions:
Distributions are anticipated to start sooner due to our focus on more mature funds

* GP may extend the investment period by an additional 1 year
** GP may extend the term by an additional 3 years
Option for liquidation after 8 years (to be decided by the GP)
*** On commitment during the investment period, the rest on remaining invested capital; + VAT

Opportunities

THOMABRAVO

Thoma Bravo is an American investment firm with a global reputation for managing software investments via Private Equity funds. Its flagship Buy & Build strategy, which involves the acquisition of stable companies that are leaders in their field and improving them via M&A, has created a reputation for Thoma Bravo as an outstanding manager.

The flagship strategy has developed since 1980, the year the firm began operations. The strategy has been implemented across growing companies, changing sectors and diverse business environments. Since 2002, the fund has implemented the flagship strategy in the technology market, through the acquisition of software companies with positive cash flow, quality recurring income and potential for efficiency and increasing value through the M&A market.

The firm launched the Access 2 fund, which provides access to two funds that implement the flagship strategy in the American and European mid-market software markets. This fund provides the investor with exposure to 24 to 30 companies, 12-15 from the Flagship 16 fund (companies with a value of **~$900M**) and 12-15 from the Discover 5 fund (companies with a value of **~$500M**). Both funds will invest in software companies from the defense, applications and infrastructure sectors. The funds will have a total AUM of $27 billion, with the Flagship fund investing **$20B** and the Discover fund investing **$7B**. The funds are expected to finish fundraising by the end of 2024.

Value to the Portfolio

- The opportunity provides exposure to the growing software field through a leading manager during a period of favorable prices in a strong position alongside limited downside risk, since these are growing companies.
- This investment is characterized by an attractive risk profile thanks to a proven methodology for improving companies, alongside spreading the investment risk among 24-30 high-growth software companies.
- High alpha potential for the overall portfolio.
- A strong position through exposure to a growing industry, while the downside risk is limited.
    - **Target return IRR (net before tax) of 20-25%.**
    - **Liquidity profile - medium to long.**
    - **Fees in the average range.**
    - **AUM: $142B**

VERITAS
CAPITAL

The 9th American flagship fund in the Buyout field from Veritas Capital, which is among the most successful PE firms in the world, is expected to raise about **$13B** by the end of 2024.

The Buyout investment strategy that the manager utilizes was developed during its 27 years of activity, while specializing in four sectors - aviation & security, health, education, and sustainability & infrastructure. The core of the strategy is the identification, investment and support of mature private companies with a positive cash flow, with improvement potential that can be realized through active assistance based on a systematic value creation methodology.

Veritas has government security clearance to hold control of sensitive businesses, providing a significant advantage in sourcing, DD and procurement processes. The fund will hold a relatively concentrated portfolio of only 8-12 companies. The transactions include "simple" investments in addition to Carve-Out and Take Private alongside partial control through participation in a consortium.

This strategy is characterized by an attractive risk-return profile thanks to the focus on the intersection of technology and the US government, where the government is one of the main customers and/or supportive regulation exists (~70% of sales on average).

Value to the Portfolio

- The opportunity provides exposure to the segment of mature companies belonging to the Mid-Large-Market. Most of the companies will either sell to the US government and/or be supported by US regulation.
- The sectors to which the exposure will be received are defense, aviation, health and education in North America.
- The portfolio will be concentrated with only 8-12 companies, and therefore has the potential to create alpha, but at a higher risk, so the position is suitable for FOF and not for a single feeder.
- Role in the portfolio: creating alpha, minimizing inherent risk within the type of companies and the connection to the government, albeit with a concentrated portfolio. Exposure to interesting sectors through mature companies and a leading manager (anchor position in the portfolio)
    - **Target return IRR (net before tax) of 20-25%.**
    - **Subpar distribution allocation profile.**
    - **Fees in the average range.**
    - **AUM: $40B**

CLEARLAKE

The 8th global flagship fund from Clearlake Capital, one of the world's most successful PE firms, is expected to raise about $15 billion. The fund specializes in an All-Weather strategy, including diverse and complex transactions such as Buyout, structured equity, Rescue Finance and Distressed. The fund operates in a broad and changing economic climate with experience and expertise in diverse investment fields.

As a leading All-Weather fund, there exists a good fit with the current macro environment and an attractive risk-return profile.

Over the years, the manager has excelled in its category and generated Top Quartile returns, despite investing approximately 50% in various non-equity debt solutions, a point that highlights the strategy's unique and attractive risk profile.

Value to the Portfolio

- The ability of the fund to also invest in debt transactions without harming returns and to excel even in a complex economic environment, adds an element that most Private Equity funds lack and thus further diversifies the FOF.
- The All-Weather strategy is expected to generate alpha even, and perhaps especially, in poor markets, with complex transactions and elements of debt.
- An anchor strategy in the portfolio.
- Diversified portfolio.
- Disadvantage - there is no direct entry except through the feeder.
    - **Target return IRR (net before tax) of 20-25%.**
    - **Liquidity profile - good to very good in relation to the Buyout sector.**
    - **Average fee structure.**
    - **AUM: $80B**

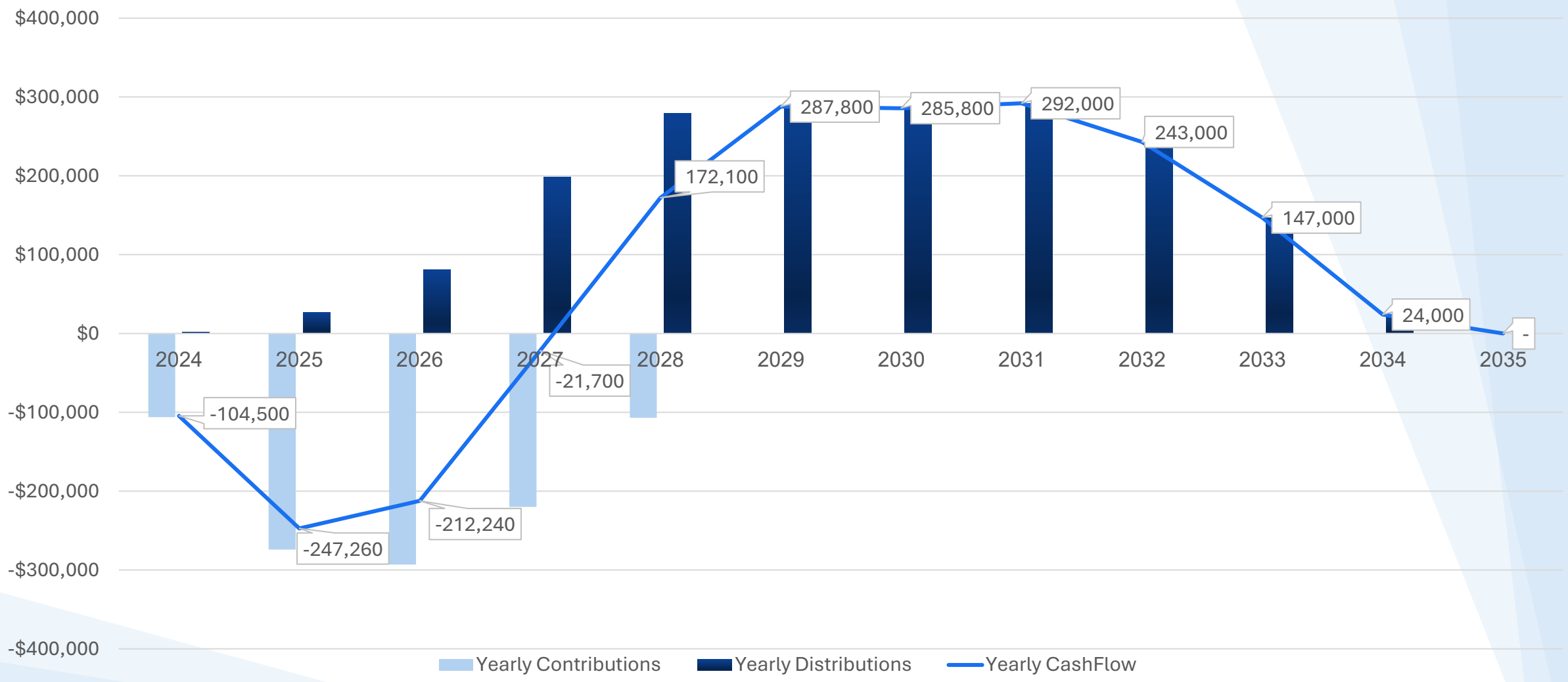
Additional Positions Under Review

Our Narrative: Funds with attractive strategies belonging to the 2023-2025 vintage

- Positions that improve cash flow, while minimizing the impact on yield - for example, Whitehorse
- Positions in Mid-Market funds, where there is significant excess return potential
- Asian growth fund
- European buyout fund
- Distressed funds

Forecasted Fund Evolution: $1M Investment

Forecast Cashflow Evolution: $1M Investment



Alt Group Team

Alex Ziser
Founder & CEO

Alex has a wealth of experience in the analysis & management of both alternative and public investments in various institutional capital organizations, mutual funds, and hedge funds. He headed the global and alternative investments departments at a leading insurance company in Israel, and was responsible for developing and constructing the alternative portfolio and managing a multi-year investment strategy.

Aharon Fogel
Managing Partner

Aharon Fogel has held key positions in many leading Israeli organizations both in the public and private sectors. He served as the Director General for Israel's Ministry of Finance, and has served as Chairman for Migdal Insurance & Financial Holdings Ltd., ZIM Integrated Shipping Services Ltd., and Ness Technologies Inc.
He currently serves on the board of Clal Insurance.

Ido Edmond Cohen
VP, Business Development

Tess Rafael
VP, Operations

Shaun Landa
Senior Analyst

Eliat Weizman
Head of Investor Relations

Yarin Mani
Analyst

Ronen Roth
Analyst

Eyal Haviv
Analyst

Laure Salama
Analyst

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